Key Words

Stock Exchange	Commodity Exchange
Rechristended	Brokers
Jobbers	Clearing House
Investors	Speculators
Optimistic	Pessimistic



For Own Thinking

2. Read the Business Section of a daily newspaper or a specialised Business Newspaper. Locate the segment where share prices of important stock exchanges are given. Select any five companies and record their share prices everyday for a period of three weeks. Observe their price movement and see how major events in the economic, political or social environment affect the prices of these shares. You may even get information about these share prices from the television.



For Own Thinking

1. Identify any two persons in your vicinity who are associated with the financial market/stock exchanges, either as an investor or as a stockbroker. Talk to them and find out (i) how sale and purchase of securities takes place; (ii) what are the popular instruments traded in the market; and (iii) about recent SEBI/ government guidelines that may have affected their transactions.



For Future Learning

1. Study the website of Mumbai Stock Exchange, i.e., www.bseindia.com and compile information which you find useful. Discuss it in your class and find out how it can help you to invest in the stock market. Prepare a report on your findings with the help of your teacher.



Case Study

1. Raj and Ajay are good friends. Raj is very god-fearing kind, while Ajay was an enterprising person, having practical in approach. Read the following conversation.

Raj : Hi, Ajay! What are you doing?

Ajay : Hi, I am reading the newspaper - financial market page that gives us information about the shares price.

Raj : Shares, that is an area of big gambles.

Ajay : No, not really! You must understand how it works.

Raj : Frankly speaking, I think this Capital market is all a gambling game and I don't see any use of them.

Ajay : No, you are seriously mistaken; you do not know the importance of capital market. I will tell how it is needed for an individual and an economy.

You are required to play the role of Ajay and continue the conversation.

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